PRESIDENT'S OFFICE

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

ARUSHA REGION EXAMINATION

FORM THREE TERMINAL EXAMINATION

BOOK-KEEPING MARKING SCHEME

SECTION A (20 MARKS)

01.

i	ii	iii	iv	v	vi	vii	viii	ix	x	xi	xii	xiii	xiv	xv
D	A	E	A	E	C	A	D	D	E	D	C	B	A	D

1 Mark @
Total 15

2

i	ii	iii	iv	v
C	G	E	A	B

1 Mark @
Total 05

SECTION B (40 MARKS

3. - Error of partial omission
- Error of Casting or Adding up
- Error of carrying forward.
- Error of posting in the wrong side of the correct account.
- Error of posting to correct account with wrong amount.

2 Mark @
Total 10

4. (a) Prepaid expenses - Are the expenses which have been paid in advance but their benefit have not been received till the end of the year.

(b) Double entry system - Is an accounting system which states that each business transaction must be recorded twice (any debit entry must has its correspondence credit entry).

(c) Current Liabilities :- These are the obligations of the business that are to be paid within a short period of time (twelve months from the date they fall due).

2dy Business: Is any legal activity undertaken with the aim of making profit.

2ey Matching Concept: This is an accounting concept which tends to compare the revenue earned during an accounting period with the expenses incurred during that period to determine the profit or loss.

2 mark @
Total 10

5. 2ay

PROVISION FOR DOUBTFUL DEBTS ACCOUNT

31.12.2016	Balance c/d	60,000 ✓	01.01.2016	Balance b/d	50,000 ✓
			31.12.2016	Income Statement	10,000 ✓
		60,000			60,000
31.12.2017	Income Statement	20,000 ✓	01.01.2017	Balance b/d	60,000 ✓
31.12.2017	Balance c/d	40,000 ✓			
		60,000			60,000
31.12.2018	Balance c/d	40,000 ✓	01.01.2018	Balance b/d	40,000 ✓
			01.01.2019	Balance b/d	40,000

2by

INCOME STATEMENT EXTRACT

		Tzs.
2016:	Expenses	
	provision for doubtful debts (increase)	10,000 ✓
2017:	Other Income	
	provision for doubtful debts (decrease)	20,000 ✓

1 mark @
Total 10

Workings

Provisions: for 2016: 1,200,000 x 5% = 60,000
2017: 800,000 x 5% = 40,000
2018: 800,000 x 5% = 40,000

06.

DR. RENT RECEIVED ACCOUNT CR.

01.01.2015: Balance b/d (arrears)	20,000 ✓	01.01.2015: Balance b/d (prepaid)	40,000 ✓
31.12.2015 To Income Statement	220,000 ✓	31.12.2015: Bank	160,000 ✓
31.12.2015: Balance c/d (prepaid)	10,000 ✓	31.12.2015: Balance c/d (arrears)	50,000 ✓
	250,000 ✓		250,000 ✓
01.01.2016: Balance b/d (arrears)	50,000 ✓	01.01.2016: Balance b/d (prepaid)	10,000 ✓

1 mark ✓
Total 10

SECTION C (40 MARKS)

07.

J. JUMAINI

INCOME STATEMENT FOR THE YEAR ENDED 31st MARCH 2011

	Tzs.	Tzs.	Tzs.
Sales		41970 ✓	
Less: Return Inwards		810 ✓	
Net Sales			41160
Less cost of Goods Sold			
Opening stock		5160 ✓	
Add: Purchases	22860 ✓		
Carriage Inward	1660 ✓		
	24520		
Less: Goods taken	570 ✓		
Net purchases		23950	
Cost of Goods Available for sale		29110 ✓	
Less: Closing Stock		4290 ✓	
			24820 ✓
Gross profit			16340 ✓
Add: Other Income			
Discount received			930 ✓
Total Income			17270

	Tzs.	Tzs	Tzs.
Less: Expenses.			
Discount allowed		1440 ✓	
carriage outwards		500 ✓	
Rent and Insurance	1740		
Less: Rent prepaid	180	1560 ✓	
Increase in provision		150 ✓	
Depreciation: Furniture & Fittings		120 ✓	
Delivery Van.		300 ✓	
Wages and salaries	8940		
Add: Accrued	210	9150 ✓	
General expenses	450		
Add: owing office expenses	20	470 ✓	
Total Expenses.			13,690
Net profit			3,580 ✓

1 mark @ total 20

08. 2ay

MACHINERY ACCOUNT

DR.					CR
01.01.2001	Cash	100,000 ✓	31.12.2001	Balance c/d	140,000 ✓
01.07.2001	Cash	40,000 ✓			
		140,000			140,000
01.01.2002	Balance b/d	140,000 ✓	31.12.2002	Balance c/d	140,000 ✓
01.01.2003	Balance b/d	140,000 ✓	01.07.2003	Machine Disposal	180,000 ✓
01.07.2003	Cash	120,000 ✓	31.12.2003	Balance c/d	160,000 ✓
		260000			260000
01.01.2004	Balance b/d	160,000 ✓	31.12.2004	Balance c/d	160,000 ✓
01.01.2005	Balance b/d	160,000 ✓			

Dr. PROVISION FOR DEPRECIATION ACCOUNT Cr.

31.12.2001	Balance c/d	12000	31.12.2001	Income Statement	12,000
			01.01.2002	Balance b/d	12,000
31.12.2001	Balance c/d	26,000	31.12.2002	Income Statement	14,000
		26000			26,000
01.07.2003	Machine Disposal	25,000	01.01.2003	Balance b/d	26,000
31.12.2003	Balance c/d	19,000	31.12.2003	Income Statement	18,000
		44000			44000
31.12.2004	Balance c/d	35,000	01.01.2004	Balance b/d	19,000
			31.12.2004	Income Statement	16,000
		35,000			35,000
			01.01.2005	Balance b/d	35,000

Dr. MACHINERY DISPOSAL ACCOUNT Cr.

01.07.2003	Machinery	100000	01.07.2003	Cash	50,000
			01.07.2003	provision for Depreciation	25,000
			01.07.2003	Income Statement (Loss)	25,000
		100000			100000

Workings:

Calculation for Depreciation Charges.

2001: Machine 1: $100000 \times 10/100 = 10,000$

Machine 2: $(40000 \times 10/100) \times 6/12 = 2000$ — 12000

2002: Machine 1: $100000 \times 10/100 = 10,000$

Machine 2: $40,000 \times 10/100 = 4,000$ — 14,000

2003: Machine 1: $(100,000 \times 10/100) \times 6/12 = 5000$

Machine 2: $40000 \times 10/100 = 4000$

Machine 3: $(120000 \times 10/100) \times 9/12 = 9000$ — 18,000

2004: Machine 2: $40000 \times 10/100 = 4,000$

Machine 3: $120,000 \times 10/100 = 12,000$ — 16,000

0.6 @ V = 18

Workings 02

Total 20%

DEPRECIATION TABLE

Date of purchase	Asset Type	Cost	2001	2002	2003	2004	Disposal
01.01.2001	Machine 1	100,000	10,000	10,000	5,000	—	25,000
01.07.2001	Machine 2	40,000	2,000	4000	4000	4,000	—
01.07.2001	Machine 3	120,000	—	—	9000	12,000	
Total			12,000	14,000	18,000	16,000	

09.

MR'S MWALONGO'S

THREE COLUMN CASH BOOK

DR. Date	Particulars	Folio	Disc	Cash	Bank	Date	Particulars	Folio	Disc.	Cash	Bank CR.
Apr. 1st	Balance	b/d		11000	38500	Apr. 7th	R. Fredy		300		11700
3rd	L. Mushi		500		9,500	10th	Cash	"C"			15,000
10th	Bank	"C"		15,000		20th	Wages				31500
17th	L. Sempeo		400		15600	23rd	L. Andrew		1000		19,000
25th	Sogodi		300		11,700	28th	E. Sebogo		700		27300
30th	Balance	c/d			29200	30th	Balance	c/d		26000	
			1200	26000	104,500				2000	26,000	104,500
May 01st	Balance	b/d		26,000		May 01st	Balance	b/d			29,200

1 mark @
Total 20